

Shareef Ahmad v. State of U.P. & Another

Allahabad High Court · Division Bench · 4 December 2017 · Writ - C No. 47449 of 2015 · **Writ petition dismissed on 4 December 2017. On a perusal of the pleadings, grounds and reliefs the Court found the petitioner unable to make out a case justifying interference with the impugned electricity demand notice dated 13 July 2015, and that the cause of action either no longer survived or the petitioner had lost interest so that the matter had become infructuous (counsel for the petitioner being absent); the petition was dismissed and the interim order - by which recovery on the demand notice had been stayed from 25 August 2015 following Vinod Kumar Agarwal - was vacated.**

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HEADNOTE

Shareef Ahmad, a consumer, challenged an electricity demand notice dated 13 July 2015 issued by the Executive Engineer, Vidyut Vitran Khand, Bijnor, and sought to restrain recovery of the assessed dues. This order-sheet of the Allahabad High Court records the life of the writ petition from 2015 to its dismissal in 2017. By interim order of 25 August 2015 a Division Bench, following Vinod Kumar Agarwal v. State of U.P. (which had reproduced the Chairman-cum-Managing Director, UPPCL's compliance order dated 30 June 2012), stayed recovery pursuant to the impugned demand notice: no recovery certificate is to issue until a final assessment is made in a theft case under sub-section (3) of Section 126 of the Electricity Act, 2003 after a reasonable opportunity of hearing, that final order to be passed within thirty days of service of the provisional assessment, and recoveries already issued without a final assessment to be withdrawn. The Corporation contended that the petitioner's remedy lay in a suit under the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958. The interim stay was extended through more than ten listings before successive Division Benches. Finally, on 4 December 2017, with the petitioner's counsel absent, the Court dismissed the petition: on a perusal of the pleadings, grounds and reliefs it found the petitioner unable to make out a case justifying interference, and observed that the cause of action either no longer survived or the petitioner had lost interest so that the matter had become infructuous; the interim order was vacated. The Court thus laid down no fresh law - the substantive Section 126(3)-before-recovery principle it applied at the interim stage being settled by Vinod Kumar Agarwal, and the final disposition being a discretionary refusal of relief.

FACTUAL SUMMARY

The petitioner, Shareef Ahmad, was a consumer served by the U.P. Power Corporation / distribution licensee in Bijnor. By a demand notice dated 13 July 2015 (annexure 10 to the writ petition), the Executive Engineer, Vidyut Vitran Khand, Bijnor (respondent no. 3) sought to recover electricity dues from him. He filed Writ - C No. 47449 of 2015 before the Allahabad High Court praying for a writ of certiorari to quash the demand notice and for a mandamus restraining the respondents from proceeding with recovery during the pendency of the petition. The matter was first listed on 17 August 2015, when the Corporation's counsel sought time to obtain instructions. On 25 August 2015 a Division Bench (Rakesh Tiwari and Mukhtar Ahmad, JJ.), after perusing the record and the judgment in Vinod Kumar Agarwal v. State of U.P. (decided 10 July 2012, Writ-C No. 24772 of 2012) - which had reproduced the Chairman-cum-Managing Director, UPPCL's order dated 30 June 2012 directing strict compliance with Section 126 of the Electricity Act, 2003 and Clause 6.8 of the U.P. Electricity Supply Code, 2005 - directed the respondents to file a counter affidavit within three weeks and stayed recovery pursuant to the impugned demand notice till the next date. The Corporation's counsel had contended that the petitioner's remedy lay in a suit under the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958. The interim stay was thereafter extended through more than ten listings before successive Division Benches over 2016-2017. On 4 December 2017 (Sudhir Agarwal and Ajit Kumar, JJ.), the petitioner's counsel being absent, the Court perused the record and dismissed the petition.

REUSABLE CONSTRUCTIONS

1. An electricity dues demand notice can be stayed at the interim stage where recovery is being pressed without a final assessment: following Vinod Kumar Agarwal and the Chairman-cum-Managing Director, UPPCL's order dated 30 June 2012, no recovery certificate may issue until a final assessment is made in a theft case under sub-section (3) of Section 126 of the Electricity Act, 2003 after a reasonable opportunity of hearing, that order to be passed within thirty days of service of the provisional assessment. **order of 25.8.2015**
2. Recoveries already issued without making a final assessment are to be withdrawn forthwith and re-issued only after a final assessment order is passed. **order of 25.8.2015**

3. A writ court will decline to interfere with an electricity demand notice where, on a perusal of the pleadings, grounds and reliefs, the petitioner is unable to make out a case justifying interference. **order of 4.12.2017**
4. Where the cause of action no longer survives or the petitioner has lost interest so that the matter has become infructuous - reflected in the petitioner's counsel remaining absent - the petition is liable to be dismissed and any interim order stands vacated. **order of 4.12.2017**

HOLDING-UNITS

INTERPLAY · EA2003::126

OBITER

Interim stay of recovery on a demand notice pressed without a final assessment; no recovery certificate until a Section 126(3) final assessment after hearing

QUESTION

Whether, pending the writ petition, recovery pursuant to the impugned electricity demand notice could be permitted where it was being pressed without a final assessment under sub-section (3) of Section 126 of the Electricity Act, 2003?

HOLDING

No, at the interim stage. Following *Vinod Kumar Agarwal v. State of U.P.*, which had reproduced the Chairman-cum-Managing Director, UPPCL's order dated 30 June 2012, the Division Bench stayed recovery pursuant to the impugned demand notice dated 13 July 2015. No recovery certificate is to be issued until a final assessment is made in a theft case after a reasonable opportunity of hearing to the consumer under sub-section (3) of Section 126, the order under Section 126(3) to be passed within thirty days of service of the provisional assessment, and recoveries already issued without a final assessment are to be withdrawn. The stay was, however, interim only and was vacated when the petition was ultimately dismissed on 4 December 2017. **order of 25.8.2015**

EVIDENCE “not to issue any recovery certificates, until and unless final assessment is made in theft case, after giving reasonable opportunity of hearing to the consumer/user under sub-section(3) of Section 126” **order of 25.8.2015**

EVIDENCE “The order, under sub-section(3) of Section 126, shall be passed within 30 days from the date of service of provisional assessment” **order of 25.8.2015**

EVIDENCE “recovery pursuant to the impugned demand notice dated 13.07.2015 (annexure 10) shall remain stayed” **order of 25.8.2015**

FLAG Order-sheet with no printed page numbers; pins are order dates (pin_basis=date). The Section 126(3)/Clause 6.8 directives are those of the Chairman-cum-Managing Director, UPPCL's order dated 30.6.2012 as reproduced in *Vinod Kumar Agarwal (SCJ-145)* and applied by the Court at the interim stage; the stay was later vacated on dismissal, so this is obiter.

INTERPLAY · OFFTOPIC::writ-discretion-no-case-made-out-infructuous

RATIO

Writ challenge to an electricity demand notice dismissed for failure to make out a case for interference and as infructuous

QUESTION

Whether the writ petition challenging the electricity demand notice should be entertained where the petitioner makes out no case for interference and the matter appears to have become infructuous?

HOLDING

No. Having itself gone through the pleadings, grounds and reliefs sought, the Court found the petitioner unable to make out a case so as to justify interference by granting the reliefs prayed for. It further observed that either the cause of action no longer survived, or the petitioner had lost interest, or the matter had otherwise become infructuous - probably why the petitioner's counsel was absent. The petition was accordingly dismissed and the interim order, if any, stood vacated, without adjudication of the Section 126(3)/Clause 6.8 merits that had been raised at the interim stage. **order of 4.12.2017**

EVIDENCE “petitioner is not able to make out a case so as to justify interference of this Court by granting reliefs, as prayed for” **order of 4.12.2017**

EVIDENCE “either the cause of action no more survives or that petitioner has lost interest in this matter or it has otherwise become infructuous” **order of 4.12.2017**

EVIDENCE “Dismissed. Interim order, if any, stands vacated.” **order of 4.12.2017**

FLAG Final disposition of an order-sheet spanning several Division Benches (2015-2017); pins are order dates. Coram is the disposing bench of 4.12.2017 (Sudhir Agarwal and Ajit Kumar, JJ.).

PRINCIPLE TAGS

no-recovery-certificate-without-final-section-126-3-assessment No recovery certificate for electricity dues is to be issued until a final assessment is made in a theft case under sub-section (3) of Section 126 of the Electricity Act, 2003 after a reasonable opportunity of hearing; recoveries issued without a final assessment are to be withdrawn - applied here to stay recovery on the impugned demand notice at the interim stage. Lead authorities: *Vinod Kumar Agarwal v. State of U.P. & Others* [SCJ-145]. order of 25.8.2015

interim-stay-of-electricity-recovery-pending-final-assessment Recovery pursuant to an electricity demand notice may be stayed pending the writ where recovery is being pressed without the final assessment mandated by Section 126(3); such a stay is interim and falls away if the petition is ultimately dismissed. Lead authorities: *Vinod Kumar Agarwal v. State of U.P. & Others* [SCJ-145]. order of 25.8.2015

writ-interference-declined-no-case-made-out-and-infructuous A writ court declines to interfere with an electricity demand notice, and dismisses the petition vacating any interim order, where on a perusal of the pleadings no case for interference is made out and the cause of action no longer survives / the matter has become infructuous. order of 4.12.2017

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE DEMAND NOTICE DATED 13 JULY 2015 AND THE RECOVERY IT PRESSED WERE VALID - I.E. WHETHER A FINAL ASSESSMENT UNDER SECTION 126(3) HAD BEEN MADE AND CLAUSE 6.8 OF THE SUPPLY CODE COMPLIED WITH.

Not decided; the petition was dismissed for failure to make out a case for interference and as infructuous, without adjudicating the Section 126(3)/Clause 6.8 merits raised at the interim stage. [SCJ-145] order of 4.12.2017

NOT DECIDED — WHETHER THE PETITIONER'S ONLY REMEDY LAY IN A SUIT UNDER THE U.P. GOVERNMENT ELECTRICAL UNDERTAKING (DUES RECOVERY) ACT, 1958, AS THE CORPORATION CONTENTED.

Contention recorded on 25 August 2015 but left unadjudicated; the petition was dismissed on other grounds. order of 25.8.2015

RELATED CASES — SEE ALSO

SCJ-145 — *Vinod Kumar Agarwal* - the authority reproduced and applied here to stay recovery pending a final assessment under Section 126(3).

SCJ-1982 — *Ramanuj Tripathi* - recovery citation quashed for want of a final assessment under Section 126(3), following the same *Vinod Kumar Agarwal* line.

SCJ-898 — Final Section 126(3) assessment held mandatory before recovery - the settled principle applied at the interim stage here.

SCJ-1271 — *Dinesh Kumar Gupta* - a Section 126(3) final-assessment-before-recovery sibling in the same line of authority.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Vinod Kumar Agarwal v. State of U.P. & Others</i> Writ-C No. 24772 of 2012, decided 10 July 2012 [SCJ-145] Allahabad High Court	No recovery certificate is to be issued until a final assessment is made in a theft case after a reasonable opportunity of hearing under sub-section (3) of Section 126 of the Electricity Act, 2003 (the Section 126(3) order to be passed within thirty days of service of the provisional assessment); recoveries already issued without a final assessment are to be withdrawn - the Court reproducing the Chairman-cum-Managing Director, UPPCL's compliance order dated 30 June 2012.	Reproduced and applied to stay recovery pursuant to the impugned demand notice at the interim stage. order of 25.8.2015	Court	Followed

